

Insurance - Operational Resilience

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_;
2. (2) in accordance with Insurance General Application 3, the _Society_ , as modified by 9; and
3. (3) in accordance with Insurance General Application 3, _managing agents_ , as modified by 9.

1.2

In this Part, the following definitions shall apply:

external group end user

means a _person_ who receives services and who is outside of the _group_ of which the _firm_ is a member.

impact tolerance

means the maximum tolerable level of disruption to an _important business service_ or an _important group business service_ as measured by a length of time and other relevant metrics.

important business service

means a service provided by a _firm_ , or by another person on behalf of the _firm_ , to another _person_ which, if disrupted, could pose a risk to:

1. (1) where the _firm_ is a _relevant Solvency II firm_ , the stability of the _UK_ financial system;
2. (2) the _firm?s_ safety and soundness; or
3. (3) an appropriate degree of protection for those who are or may become the _firm?s_ _policyholders_.

important group business service

means a service provided by a member of the _firm?s_ _group_ (other than the _firm_) to an _external group end user_ which, if disrupted, could pose a risk to:

1. (1) where a _relevant Solvency II firm_ is a member of the _group_ , the stability of the _UK_ financial system;
2. (2) the _firm?s_ safety and soundness; or
3. (3) an appropriate degree of protection for those who are or may become the _firm?s_ policyholders_.

relevant Solvency II firm

means a _firm_ which fulfils any of the following conditions:

1. (1) the _firm?s_ annual gross written premium income exceeds £15 billion; or
2. (2) the total of the _firm?s_ _technical provisions_ , gross of the amounts recoverable from _reinsurance contracts_ and _UK ISPVs_ , as referred to in Technical Provisions 2.1 to 2.3 exceeds £75 billion,

determined on the basis of the average annual amount assessed across a rolling period of three years, calculated by reference to the _firm?s_ _accounting reference date_ ; and where the _firm_ has been in existence for less than three years, the assessment will be made on the basis of the annual average amount for the period during which the _firm_ has existed (calculated by reference to the _firm?s_ _accounting reference date_).

2

Operational Resilience Requirements

2.1

A _firm_ must identify its _important business services_ and, where Group Supervision 22.2 applies, its _important group business services_ .

2.2

A _firm_ must set an _impact tolerance_ for each of:

1. (1) its _important business services_ ; and
2. (2) where Group Supervision 22.2 applies, its _important group business services_ .

2.3

The _impact tolerance_ set for each _important business service_ or _important group business service_ must specify the first point at which a disruption to the _important business service_ or _important group business service_ would pose a risk to:

1. (1) where the _firm_ is a _relevant Solvency II firm_ , the stability of the _UK_ financial system;
2. (2) the _firm?s_ safety and soundness; or
3. (3) an appropriate degree of protection for those who are or may become the _firm?s_ _policyholders_ .

2.4

The _impact tolerance_ set for each _important business service_ or _important group business services_ must specify the length of or point in time, in addition to any other relevant metrics, for which a disruption to that _important business service_ or _important group business service_ can be tolerated.

2.5

A _firm_ must ensure it can remain within its _impact tolerance_ for each _important business service_ in the event of a severe but plausible disruption to its operations.

2.6

A _firm_ must comply with 2.5 within a reasonable time of the rule coming into effect and in any event by no later than 31 March 2025.

3

Strategies, Processes and Systems

3.1

A firm must have in place sound, effective and comprehensive strategies, processes and systems that enable it adequately to:

1. (1) identify its important business services and, where Group Supervision 22.2 applies, its important group business services;
2. (2) set an impact tolerance for each important business service and, where Group Supervision 22.2 applies, each important group business service; and
3. (3) identify and address any risks to its ability to comply with the obligation in 2.5.

3.2

The strategies, processes and systems required by 3.1 must be proportionate to the nature, scale and complexity of the firm's activities.

4

Mapping

4.1

As part of its obligation under 3.1, a firm must identify and document the necessary people, processes, technology, facilities and information required to deliver each of its important business services.

5

Scenario Testing

5.1

As part of its obligation under 3.1, a firm must carry out regular scenario testing of its ability to remain within its impact tolerance for each of its important business services in the event of a severe but plausible disruption of its operations.

5.2

In carrying out the scenario testing required by 5.1, a firm must identify an appropriate range of adverse circumstances of varying nature, severity and duration relevant to its business and risk profile and consider the risks to delivery of the firm's important business services in those circumstances.

5.3

The scenario testing required by 5.1 must be proportionate to the nature, scale and complexity of the firm's activities.

6

Self-Assessment

6.1

A firm must prepare and regularly update a written self-assessment of its compliance with this Part and, where Group

Supervision 22.2 applies, Group Supervision 22.

6.2

The content and level of detail of a _firm?s_ written self-assessment must be proportionate to the nature, scale and complexity of the _firm?s_ activities and, where applicable, to the activities of the _group_ of which the _firm_ is a member.

6.3

A _firm_ must maintain, and be able to provide to the _PRA_ on request, a current version of its written self-assessment, together with all versions produced during the preceding three years.

7

Governance

7.1

A _firm_ must ensure that its _management body_ approves the _important business services_ and _important group business services_ identified by the _firm_ in compliance with 2.1 and, where Group Supervision 22.2 applies, Group Supervision 22.3.

7.2

A _firm_ must ensure that its _management body_ approves the _impact tolerances_ set by the _firm_ in compliance with 2.2 and, where Group Supervision 22.2 applies, Group Supervision 22.3.

7.3

A _firm_ must ensure that its _management body_ approves and regularly reviews the self-assessment required by 6.1.

8

Group Arrangements

8.1

Where a _firm_ is a member of a _group_, the _firm_ must ensure it accounts for any additional risks arising elsewhere in the _group_ that may affect the _firm?s_ ability to comply with 2.5.

9

Lloyd?s

9.1

This Part applies to the _Society_ and _managing agents_ separately.